

FN pitch deck

PITCH — FN — VERDICT

PROPOSED — PENDING ADJUDICATION — Fabrinet (FN, CIK 1408710): classification survives, the position is small and *not yet live* — no entry at the current tape of \$405.13; first buy only at \$390 or lower, target size half a normal starter (1.0% of book), staged in three pieces.

What we believe

Fabrinet builds optical modules and assemblies for other people's brands out of Thailand. FY26 (ended 2026-06-26) was a very good operating year that the stock hated: revenue about \$4.64B (+36%), Q4 revenue \$1,315.8M (+44.6% year over year), GAAP net income \$473.0M, and a Q1-FY27 guide of \$1.375–1.425B revenue with non-GAAP EPS of \$4.10–4.25 (8-K Ex-99.1, <https://www.sec.gov/Archives/edgar/data/0001408710/000140871026000026/fn-2026811xex991q426.htm>; 10-K <https://www.sec.gov/Archives/edgar/data/0001408710/000140871026000028/fn-20260626.htm>).

The stock is down 45.9% from its 52-week high and traded at \$557 after hours on 2026-08-17 before falling to \$405.13. Nothing in the filings looks like fraud, restatement risk, or a broken balance sheet: net cash is \$875.1M (about \$24/share), the auditor is Big-4, the company has been listed ~20 years, and hiring is *accelerating* into the quarter that closes 2026-09-25 (25 job postings in September vs 6–7/month before). So our belief is narrow and honest: **this is a real business having a real de-rating, not a blow-up**. At a low enough price that de-rating is worth owning in small size.

We also believe the two things the bear case got right, and we are not arguing them away: - Cash conversion is thin. FY26 operating cash flow was \$256.7M (down 22%) while pretax income rose 56%; capex was \$252.5M, so free cash flow for the whole year was about **+\$4.2M** on \$473M of net income (0.54 of net income turned into operating cash). - The most famous customer got smaller in dollars. NVIDIA went from 27.6% of \$3.42B (~\$944M) to 16% of \$4.64B (~\$742M) — about **–21% in dollars** while total revenue grew 36%. Growth came from Cisco (20%), Nokia (11%) and Amazon (11%).

What the market believes

Two beliefs are fighting.

The **sell-side** believes it's a buy: 7 analysts, consensus “Buy,” average target \$513.43 with a range of \$234–700 (<https://stockanalysis.com/stocks/fn/forecast/>). Even the post-print cut (B. Riley to \$598 from \$635, Neutral) sits far above the tape.

The **actual buyers and sellers** believe something else. They sold a beat 13.5% lower on the Q3 print, sold another beat 19.4% lower on the Q4 print (gap from a \$598.58 close to a \$513.70 open), and have

kept selling another ~16% in the three weeks since. That is the market saying: *we will not pay 29–31x GAAP earnings for growth that is financed by the company's own receivables and inventory, at a 12%-gross-margin assembler whose biggest AI name is shrinking*. At \$405.13 the stock is 31.0x trailing FY26 GAAP EPS (\$13.05), 29.2x the annualized GAAP guide (\$13.86), and 24.3x the annualized non-GAAP guide — the “24x” everyone quotes is the friendliest of the three, and it excludes about \$32M/year of stock comp.

Where price and targets disagree by 27%, the price is the position that costs money to hold. We side with price on timing and with the targets only on direction.

Why we might have edge

Modest, and we will state it plainly rather than dress it up:

1. **Two decompositions neither the coverage nor the targets carry.** Full-year cash conversion of 0.54 (coverage focused on the –\$37M *quarterly* free cash flow), and the –21% dollar decline at NVIDIA that is hidden by percentage-of-revenue disclosure plus a bigger denominator. The second is our best original fact in this whole court.
2. **A tax step that is already booked, not looming.** Effective tax rate went 6.4% → 14.8% (\$82.1M vs \$22.7M). That \$59.4M step alone explains about **83%** of the \$71.7M drop in operating cash flow. Anyone treating FY27 as “tax risk ahead” is double-counting a change that is already in the run-rate and already inside the Q1 guide (GAAP mid \$3.465 vs non-GAAP mid \$4.175).
3. **Working-capital intensity actually improved.** Days-sales-outstanding fell from 75.9 to 70.5 days. Receivables grew 34% against 45% Q4 revenue growth. The scary \$1.02B receivable is a growth artifact more than a collections problem — which is the opposite of the story the tape is telling.
4. **Disclosed capacity.** Management says the Thailand and California expansions support long-term revenue capacity of \$12.5–14B. That reframes capex at 5.4% of sales as bought capacity rather than maintenance leakage.

Why it might be priced in

Most of it probably is, and this is the strongest argument against the trade:

- The full-year \$4M free cash flow number **was** in the earnings-call coverage. Our “novel” kill is really a consensus kill with better arithmetic.
- The direction of the Q1 margin step was widely noted. Our contribution is only the size (–49bp of non-GAAP net margin, guide mid vs Q4 actual) — and even that partly re-counts the tax step.
- The street's own next-quarter estimate (\$3.93 EPS / \$1.31B revenue, <https://www.chartmill.com/stock/quote/FN/analyst-ratings>) sits *below* the company's guide. Either the aggregation is stale (likely, and unverified) or the street already discounts management. Either way we would be buying with the company's number, not a number the market hasn't seen.

- Our EV work below lands at about **\$390** against a \$405.13 tape. That is not edge. That is roughly fair-to-slightly-rich, which is exactly why this deck proposes no immediate buy.

What could go wrong (PRE-MORTEM, v1.7)

Failure narrative 1 — Silent design displacement at the marquee account. (NO MONITORABLE TRIPWIRE.) NVIDIA's dollars fell 21% while the story got louder. If that is displacement — insourcing, a second source, or a platform transition that skips Fabrinet — the decision was made 2–4 quarters before it will ever appear in a filing, and it will appear as a percentage that rounds, not as an 8-K. There is no sensor for this. Customs data returned **zero consignees**; the customer_id connector's posterior was None; the company names no programs. We cannot build a tripwire for a private roadmap decision at a counterparty who owes us no disclosure. *Unknown-unknown class named: counterparty-private allocation decisions* — facts that exist, are decision-relevant, are held by a third party under NDA, and become public only after the price has moved. Adjacent class: **rounded-disclosure blindness** (a 16% line can hide a \$46M swing either way; our own estimate is only robust in sign, −19% to −24%).

Failure narrative 2 — The accrual de-rate repeats, and 20x turns out to be the ceiling, not the floor. Our own knowledge-graph candidate (accrual_financed_growth_derate) says a low-margin pass-through manufacturer whose growth is financed off its own balance sheet de-rates on consecutive prints even when it beats on EPS. FN has now done that twice. If the November 10-Q shows receivables and inventory building again with operating cash flow still under 0.7 of net income, the same mechanism fires a third time and the bear fair-value band of \$330–390 becomes the new ceiling. *Tripwire exists:* 10-Q cash-flow statement, DSO series, and the price gates below.

Failure narrative 3 — We buy the level and the level was a rail artifact. Our entry math leans on “16% off the 52-week low.” One bench used \$408.375 and 16.6% off the low; the other used \$404.73 and 15.6%; the pack says \$405.13 and 15.7%. And a secondary source (Macrotrends) shows a 52-week low of **\$272.49** instead of the pack's \$350.10. If the wider window is the true one, then “near the low” is wrong by 22% and every band in this deck is anchored to a bad number. *Tripwire exists:* pull exchange bars from IBKR before the first limit order goes live. This is cheap to fix and has not been fixed, which is embarrassing rather than clever.

Reflexive / structural leg. Our own size is not the problem. Estimated average daily volume is 0.9–1.6M shares (~\$365–650M/day; estimate, not measured — see unverified #7). A full 1.0%-of-book position on a \$50M book is ~1,200 shares, roughly 0.1% of a day — we are invisible and we should say so instead of pretending to worry about our footprint. The structural risk is *other people's* flow: sell-side targets are 27% above the tape, which means the pending flow is **target cuts**, not upgrades, and each cut lands as a headline into a tape already 46% off its high. Momentum and trend books have been forced sellers through two prints; passive/index flow around the name is unmeasured in this pack (unverified #7). Doctrine interactions we are choosing to live with: (a) **divergence-not-coverage** overturned the bear “this is consensus” kill, but the overturn rests on the *assumption* that the \$3.93 estimate is stale — if it is actually a live post-guide number, the kill comes back and our edge goes to zero; (b) our buy zone of \$350–390 sits exactly inside the zone where our own de-rate detector is still

firing — we would be buying into our own sensor’s fire zone, which is only defensible in small size and in tranches; (c) print proximity is ~36 trading days, outside the 5-day window, so no print-decisive reconstruction is required — but that also means the resolving event is far enough away for two more months of drift.

If this position loses money, the most likely reason will be that NVIDIA’s 21% dollar decline was displacement rather than program timing — a fact held privately at the customer, invisible in percentage-of-revenue disclosure, and untrackable by any sensor we own — compounded by a third cash-conversion de-rate that takes the multiple below the \$330–390 fair-value band we used to justify the entry.

What we checked ourselves

Claim	How checked	Found	Confirmed?
FY26 OCF \$256.7M, capex \$252.5M, FCF ~\$4M	8-K Ex-99.1 primary (https://www.sec.gov/Archives/edgar/data/1026000/000026/fi-2026811xex991q426.htm)	Recomputed OCF/NI = 256.7/473.0 = 54.3% (vs 42.1% in 1026000026/fi-2026811xex991q426.htm)	Levels YES
“Accelerating accruals” framing	Recomputed intensity, not levels: DSO = AR/Q4 rev × 91	70.5d FY26 vs 75.9d FY25 — receivables +34% vs Q4 revenue +45%; intensity improved	NO — framing refuted
Tax step explains the cash decline	\$82.1M – \$22.7M vs \$328.4M – \$256.7M	\$59.4M of a \$71.7M decline = 82.8%	YES
“Continued operating leverage” vs margin step	Guide mid vs Q4 actual on 36.3M shares	Non-GAAP net margin 11.31% → 10.83% = –49bp (bear bench said –51bp; small share-count difference)	Arithmetic YES / inference NO — it is an after-tax margin tested against an operating claim, and it re-counts the same Thailand tax already booked separately. Our red bench double-counted.
“~24x”	Three bases at pack tape \$405.13	24.3x non-GAAP guide, 29.2x GAAP guide, 31.0x trailing GAAP; non-GAAP omits ~\$8M/qtr stock comp	Confirmed as basis-shift; bear’s 29.5x annualizes a Q1 with a seasonal \$0.71 GAAP/non-GAAP gap vs \$0.27 in Q4, so it is a downward-biased base. Magnitude overstated by our own red bench.
“–27% in three weeks unexplained”	Price path: \$598.58 close → \$513.70 open → ~\$482 close 8/18 → \$405.13	Residual unexplained decline is –16% , not –27%	NO — our red bench double-counted the gap day. A real, unexplained –16% remains.
Top-4 customer concentration “falling”	10-K concentration note (acc. 0001408710-26-000028)	FY26: Cisco 20% + NVIDIA 16% + Nokia 11% + Amazon 11% = 58% ; FY25 top-2 =	Half-true. Gap was left open by red, closed by blue.

Claim	How checked	Found	Confirmed?
		45.8% (NVIDIA 27.6%, Cisco 18.2%). Top-1 fell; aggregate did not	
NVIDIA dollars	27.6% × \$3.42B vs 16% × \$4.64B	~\$944M → ~\$742M = −21% . Rounding stress test (15.5%–16.49%) gives −24% to −19% — sign is robust	YES
Satellite / thermal “no buildout”	Geocode vs campus	Geocode 14.0487/100.5640 is ~6km off the operating campus, and Q4 capex included \$11M for the Nava Nakorn purchase — a different parcel. Sentinel-2 null tested the wrong land	NO — detector void, not evidence. Both benches correctly refused to weight it.
Insider sale 9/3 (Form 4 + 144)	EDGAR filing index only	Headline and dates confirmed; transaction codes never pulled by either bench	UNRESOLVED — data gap, cannot carry a verdict (open item #1)
Pack’s own XBRL block	Read the series labels	Revenue/SBC/share rows stop at 2025-03-28 and are superseded for FY26 ; the “ocf” rows are September-quarter (Q1) values including a 2012 row — using them for full-year cash-flow math would have produced nonsense. Our own pack instruction (“use THESE for OCF math”) is wrong here.	Pack error — flagged, overridden by the 8-K
Tape rail	Pack vs both benches	Pack \$405.13 / −45.9% / 15.7% off low; red litigated \$408.375 / 16.6%; blue \$404.73 / 15.6%. Both benches superseded the pack rail without a primary source. Pack governs → \$405.13	Pack error tolerance ±0.9% — immaterial to the verdict, material to hygiene
Detector inventory	Cross-checked both lists	Red invented app_review_velocity and skipped dispatched entries; blue ran clinicaltrials_lookup and competitor_trial_omission on a company with no clinical program. Both benches sloppy in opposite directions	Process failure both sides
Science brief	Input pack	No SCIENCE BRIEF supplied for FN, so the SCIENCE BRIEF DIGEST section is deliberately omitted , not dropped. Optical-module assembly is process/yield engineering here, not a claim ledger	N/A by rule

PROPOSED ENTRY BANDS

Position unit convention: 1 unit = 2.0% of book. **Target maximum before the Q1 print: 1.0% of book (half a starter).** Nothing is live today.

Action	Trigger	Size	Basis (from the benches' own math)
No entry now	Tape \$405.13	0%	Above both benches' gates and above our own EV of \$390. Zero margin of safety.
Tranche 1 — BUY	Limit ≤ \$390.00 , GTC	0.40% of book	Blue's entry gate; the top of red's \$330–390 fair-value band (20–22x FY27 GAAP EPS of \$15–17.5)
Tranche 2 — BUY	Limit ≤ \$350.00	0.35% of book	Red's re-court level; ~11% below EV, inside the fair-value band
Tranche 3 — BUY	Any price ≤ \$430 only after open items #1, #2 and #4 clear (Form 4 codes benign, 10-K Q4 OCF/Ni + DSO confirm, print date PR'd)	0.25% of book	Blue's "balance released on confirmation" condition
Below \$330	Close below fair-value band low	No auto-add. Thesis review.	Below the band means the market is pricing displacement, not a discount. Averaging down through your own valuation floor is how the second bench's kill wins.
Trim half	≥ \$513 (street average target)	–50% of position	EV exceeded; that is the level the sell-side already published
Full exit	Q1-FY27 revenue < \$1.375B (below own guide) or non-GAAP gross margin < 12.0% or Nov 10-Q OCF/Ni < 0.6 with DSO rising	0%	Red's kill conditions 1 and 3, inverted
Full exit	Any 10-Q/10-K showing NVIDIA dollars down again with total growth < 20%	0%	Blue's Finding A becoming structural
Stop review	Average cost –25%, or a close below \$272.49	—	The disputed wider-window low; if it is real, that is the actual base

Upside test the bulls must pass (red's own list): Q1 print ≥ \$1.425B with non-GAAP gross margin ≥ 12.4% **and** positive free cash flow. That single print breaks kills 1 and 2 together and would justify going to a full unit.

Catalyst dates: quarter closes **2026-09-25** (from the 8-K guidance language — confirmed by document, not by PR). Q1-FY27 print ~**2026-11-02** — **UNCONFIRMED**, yfinance-derived; no Fabrinet press release names it (the FY26 date was PR'd on 2026-07-27, <https://investor.fabrinet.com/press-releases>). 10-Q roughly 2026-11-05. Rule 144 sale window from the 9/3 notice runs to ~2026-12-02. Tax-year boundary **2026-12-31**.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 272.49 (deck-provisional: Disputed wider-window 52-week low - stop review if the rail conflict resolves against the pack)
- filing watch: 8-K until 2027-03-09 (deck-provisional: Q1-FY27 print and any guide revision; exit if revenue below own \$1.375B guide or gross margin under 12)
- dated pack FN|2026-09-25: FN: Q1-FY27 quarter closes (per 8-K guidance language) (date confirmed=True)
- dated pack FN|2026-11-02: FN: Q1-FY27 print - yfinance-derived, no company PR names it (date confirmed=False)
- dated pack FN|2026-11-05: FN: Estimated 10-Q filing with DSO and cash-flow detail (date confirmed=False)
- dated pack FN|2026-12-02: FN: Approximate end of the Rule 144 sale window from the 9/3 notice (date confirmed=False)
- dated pack FN|2026-12-31: FN: Tax-year boundary - loss branch must land before this date in a harvest year (date confirmed=True)

What remains unverified

1. **Form 4 / 144 transaction codes for the 2026-09-03 executive sale.** Open-market discretionary sale or 10b5-1/tax-withholding? Estimate: $p \approx 0.75$ it is a plan or withholding sale (base rate for named-executive Form 4s clustered in a grant/vest month, and four officers filed on 8/24–8/26). Drainable today.
2. **Q4-FY26 stand-alone OCF/net income, and the quarterly DSO series inside the 10-K.** We computed full-year 0.54 and a two-point DSO improvement from balance levels; the quarterly path is what tells us whether the receivable is already reversing. Estimate: Q4 OCF/Ni 0.5–0.8, $p \approx 0.5$ of being ≥ 0.7 . Drainable today from 10-K XBRL.
3. **Whether the NVIDIA dollar decline is program timing or displacement.** Not drainable — it lives at the customer. Estimate for FY27 NVIDIA dollars: \$550–850M, from the two-year trend plus one program cycle; $p \approx 0.45$ that it is timing (i.e., dollars flat-to-up in FY27).
4. **Q1-FY27 print date.** Unconfirmed; yfinance-derived. Estimate 2026-11-02 ± 7 calendar days, $p \approx 0.70$ inside that window based on the company's own prior-quarter PR-then-print pattern.

5. **Chain-level option quotes and IV percentile.** No chain in the pack. Estimate: 12-month IV of 45–65% using a Parkinson range estimator on the 52-week high/low (46% on the pack's low, 61% on the disputed \$272.49 low); $p \approx 0.6$ that IV sits above the 70th percentile of its own year given two gap-down prints. Drainable today via IBKR.
6. **The 52-week low itself: \$350.10 (pack) vs \$272.49 (Macrotrends).** Unresolved by both benches; a secondary source cannot overturn the pack, but it cannot be ignored either. Estimate: $p \approx 0.5$, and the two answers differ by 22% on every “off the low” statement in this deck. Drainable today.
7. **Average daily volume, our size vs ADV, and passive/index flow around the name.** Estimate ADV 0.9–1.6M shares (~\$365–650M/day) from mid-cap optics comps at a ~\$14.7B market cap; our maximum 1.0%-of-book order is ~0.1% of one day. Drainable today.
8. **Whether the receivable/inventory build reverses in Q1-FY27.** Time-gated to the November 10-Q. Estimate: DSO 66–72 days, $p \approx 0.55$ that it improves again.
9. **Cash taxes actually paid vs the \$82.1M book tax expense (Thailand top-up timing).** Determines how much of the FY27 cash-flow drag is still ahead. Estimate: cash taxes \$60–95M in FY27, $p \approx 0.6$ that cash exceeds book as the top-up trues up. Drainable today from the 10-K tax footnote.

PRIZE TABLE + VOL READ

Anchor-and-adjust. **Anchor:** the published street average target of \$513.43 (range \$234–700).

Adjustments down: free cash flow of \$4M on \$473M of earnings; 58% of revenue in four accounts and not falling; the largest of those four shrinking 21% in dollars; a tape that has sold two beats in a row.

Adjustments up: DSO improved 5.4 days; the tax step is booked, not pending; \$875M of net cash; disclosed capacity for \$12.5–14B of revenue; hiring accelerating. Horizon: 12 months.

Scenario	Prob.	Price	Contribution
Re-rate: free cash flow turns positive, NVIDIA was program timing, FY27 GAAP EPS ~\$17 at 30x	0.25	\$510	\$127.50
Grind/base: EPS ~\$16 at 25x, concentration stable, cash conversion mediocre but not worse	0.35	\$400	\$140.00
Cash-conversion de-rate repeats a third time: EPS ~\$14.5 at 20x	0.22	\$290	\$63.80
Displacement spreads beyond NVIDIA; EPS ~\$11 at 15x	0.13	\$180	\$23.40
AI optics super-cycle: EPS ~\$19 at 38x	0.05	\$700	\$35.00

Scenario	Prob.	Price	Contribution
EV	1.00	\$389.70	

EV line: \$389.70 vs tape \$405.13 = -3.8%. Against Tranche 1 at \$390: -0.1% (i.e., you are paid nothing but you are not overpaying). Against \$350: +11.3%. Against \$330: +18.1%. This is the single most important number in the deck and it is what turns the bear bench's "FLAT" and the bull bench's "starter at ≤\$390" into the same instruction: **do not buy here, buy lower, buy small.**

Dispersion: $\sigma_{\text{table}} = \128 (33% of EV), which as a lognormal-equivalent one-year vol is ~32%. The table is **bimodal / fork-dated** — 40% of the probability mass sits in branches more than 28% away from EV, split around the November print and 10-Q, so a single-vol comparison is a blunt instrument here.

Expression math (shown, per the mandate). No options chain exists in the pack, so the following is priced off our own table and is *conditional* on pulling real per-strike quotes first. Pricing 12-month calls straight off the table, $C_{\text{ours}} = \sum p_i \times \max(S_i - K, 0)$, discounted at 4%:

Strike (12m)	C_ours	Break-even IV that makes C_ours fair	Black-Scholes at 45% IV	at 60% IV
\$360	\$65.81	20.1%	\$100.48	\$121.13
\$400	\$40.83	19.7%	\$81.15	\$103.84
\$450	\$26.42	23.8%	\$61.70	\$85.70

Read: our own scenario table only justifies paying about **20% implied vol** for upside calls, while the realized-vol proxy from the tape is **46–61%** (Parkinson estimator on the 52-week range; 46% using the pack's \$350.10 low, 61% using the disputed \$272.49 low). Any real chain will be *multiples* of what our table says the upside is worth. **Therefore: do not express this in long calls.** The reason is not that vol is expensive in the abstract — it is that our table's mean sits on top of spot, so we are not paying for edge, we are paying for dispersion we already said we can't call.

The same arithmetic routes gated adds to the **premium-selling gate**: σ_{table} scaled to a mid-December expiry (~0.27yr) is ~17% of spot, while a 45–60% chain IV implies 23–31%. Selling a cash-secured put at the \$375–390 strike gets us paid to wait at exactly the level Tranche 1 wants to own.

Conditions before any such order: (i) real chain-level midpoint IV and a live bid at that strike — never the underlying's aggregate IV feed, which is the mistake that showed 71 vs 101 on TSSI; (ii) put strike ≤ \$390 so assignment lands inside the fair-value band; (iii) size the cash-secured put as part of the 1.0% cap, not on top of it.

Honest counter to our own recommendation: σ_{table} of 32% is well below the 46–61% realized proxy, which means our five scenarios are probably **under-dispersed**. If true vol is higher than our table, then selling puts under-prices the assignment tail in the very branch we fear most (displacement, \$180). That argues for the smallest expression that works — plain stock on limit orders — and for treating the cash-secured put as an alternative to Tranche 1, never as leverage on top of it.

TAX overlay. In a harvest year the loss branch must land before 2026-12-31. A January or February 2027 expiry defers the loss into next year and is therefore **excluded** — the edge here (a few points of premium) does not numerically dominate the deferral cost. So: if premium is sold at all, it is a **December-2026 expiry or earlier**. Any 12-month structure priced above is illustrative arithmetic for the vol comparison only and is **not** approved during a harvest year. Plain stock has no expiry problem and can be harvested at any point before year-end, which is a second, independent reason the instrument output is **stock on limit**.

Instrument recommendation (the output of the arithmetic above): STOCK, on resting limit orders at \$390 / \$350. No long calls (our table pays ~20% IV against 46–61% realized). Optional December-2026 cash-secured put at $\leq$ \$390 in place of Tranche 1, only after a real chain quote is pulled. No covered calls — we have no position to write against.

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PR watch at investor.fabrinet.com/press-releases", "drainable_now":
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days", "basis": "company's own FY26 pattern - print date PR'd ~5
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midpoint TV per-strike quotes and TV percentile", "instrument":

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midpoint IV, per share quotes, and IV percentile , instrument :
 "IBKR options chain pull – chain midpoints only, never the aggregate
 IV feed", "drainable_now": true, "estimate": {"range": "12-month IV
 45–65%", "basis": "Parkinson range estimator on 52-week high/low:
 46% on \$350.10 low, 61% on \$272.49 low", "p": 0.6}}, {"item": "True
 52-week low: pack \$350.10 vs Macrotrends \$272.49", "instrument":
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 changes every 'off the low' statement by up to 22%", "basis": "pack
 rail governs absent a primary contradiction; secondary source
 unresolved by both benches", "p": 0.5}}, {"item": "ADV, our size vs
 ADV, and passive/index flow around the name", "instrument": "IBKR
 volume history plus index-membership check", "drainable_now": true,
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 order ~0.1% of one day", "basis": "mid-cap optics comps at ~\$14.7B
 market cap", "p": 0.6}}, {"item": "Whether the receivable/inventory
 build reverses in Q1–FY27", "instrument": "November 10–Q balance
 sheet and cash-flow statement", "drainable_now": false, "estimate":
 {"range": "DSO 66–72 days", "basis": "FY25 75.9d → FY26 70.5d trend
 extended one quarter", "p": 0.55}}, {"item": "Cash taxes paid vs
 \$82.1M book tax expense (Thailand top-up timing)", "instrument":
 "10-K income-tax footnote XBRL pull, acc 0001408710–26–000028",
 "drainable_now": true, "estimate": {"range": "FY27 cash taxes \$60–
 95M", "basis": "ETR step 6.4% → 14.8% with a top-up regime truing
 up in arrears", "p": 0.6}}]}